ARIZONA DEPARTMENT OF HEALTH SERVICES

LICENSING

December 26, 2024

Border Health, Inc
ATTN: Scott Vargas
12338 East Riggs Road
Chandler, AZ 85249

RE: INSP-0050601

Dear Mr. Vagas:

The purpose of this letter is to inform you that during a recent compliance inspection (INSP-0050601) conducted on December 2, 2024, by the Arizona Department of Health Services, the Department cited violations in one or more areas that are repeat violations of the same statutes or rules cited previously during routine compliance inspections.

The Statement of Deficiencies ("SOD"), sent on December 10, 2024, describes the violations cited. Because the case has been referred to the Enforcement Team, and the Informal Dispute Resolution ("IDR") period has passed or the IDR has been reviewed and the citations were upheld, the Department is requesting $2,000.00 in Civil Money Penalties ("CMP"), along with a written plan of correction for the violations.

Please review, sign, and return the enclosed Civil Money Penalty ("CMP") agreement forms and return to the Department by January 2, 2025.

Once the forms are completed, returned, and signed by the Department, the Department will open an Enforcement and an Invoice in the Facility Licensing Portal. Both the CMP and Plan of Corrections must be submitted through the portal within thirty (30) calendar days of the Effective Date. To submit a Plan of Correction, please see pages 103-105 of the PO/BM Handbook.

If you have any questions, please call our office at (602) 364-0857.

Sincerely,

Stacy Marchelli
Compliance Manager
Bureau of Marijuana Licensing
Enclosure

ARIZONA DEPARTMENT OF HEALTH SERVICES
PUBLIC HEALTH LICENSING SERVICES
BUREAU OF MARIJUANA LICENSING

ENFORCEMENT MEETING NOTIFICATION OF RIGHTS

Facility Name:	License#	PO/BM:
Border Health, Inc	00000022ESMC44584355	Scott Vargas

Please initial after each section.

1. I understand that I have the right to reject the proposed resolution and may refuse to sign this Agreement. SV (initials)
2. This Agreement has been reviewed and approved by the Assistant Director. If this Agreement is changed, it will be returned to the Assistant Director for approval. SV (initials)
3. I understand that if I do not enter into an agreement at this time, the Program will refer this matter to Public Health Licensing Services ("Licensing") Enforcement Team and a legal order may be prepared and sent to me. SV (initials)
4. I understand that I have due process rights and can request a hearing before the Office of Administrative Hearings regarding any legal order issued by the Department's Director. SV (initials)

I hereby acknowledge that I have discussed the above statements with the Department and understand my rights with regard thereto.

Licensee: Scott Vargas (Licensee's signature) Date: 1/8/25

ENFORCEMENT MEETING AGREEMENT FORM

Facility Name:	License#	PO/BM:
Border Health, Inc	00000022ESMC44584355	Scott Vargas

Department concern noted: The department is requesting $2,000.00 in Civil Money Penalties (CMP). Along with a written plan of correction for the violations.

Agreement:

(initials) SV Licensee agrees to pay civil money penalties in the amount of $2,000.00.

(initials) SV Licensee understands to not be in substantial compliance could result in further enforcement action up to and including denial of the renewal application.

	PLEASE PRINT NAME	SIGNATURE	DATE
Licensee:	Scott Vargas	Scott Vargas	1/8/25
Bureau Chief:	Kimberly Crawford	Kim Crawford	1/8/2025
Assistant Director:	Tom Salow	Tom	1/8/2025
Compliance Manager:	Stacy Marchelli		

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Scott Vargas
12338 East Riggs Road
Chandler, AZ 85249
License # 00000022ESMC44584355

CIVIL PENALTIES

Statute/Rule	Violations	Penalty Assessment	Penalty Amount
ARS §36-2860(A0(3)	1/17/2023 12/14/2023	Sell or advertise marijuana or marijuana products with names that resemble or imitate food or drink brands marketed to children	$2,000.00

Total			$2,000.00

Payments are to be made in the Facility Licensing Portal and shall be made within thirty (30) days from the execution date of the attached Enforcement Agreement unless an alternate payment schedule is arranged. Please review pages 115-117 of the for instructions on how to make payment.